

Annual Report on Form 10-K

Evergreen Foods Group, Inc. (NASDAQ: EVFG)

For the fiscal year ended December 31, 2024

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 7. Management's Discussion and Analysis

Total revenue was \$1,674 million for the fiscal year covered by this report, an increase of 10% compared with \$1,522 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 34.6% for the period, compared with 32.9% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$218 million, compared with \$176 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$154 million, compared with \$121 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Packaged Foods	842	758	109
Beverages	511	474	58
Fresh Products	321	290	21

Packaged Foods was the largest segment by revenue, contributing \$842 million during the period.

Consolidated Balance Sheets

Item	December 31, 2024	December 31, 2023
Total current assets	528,900	472,600
Total assets	1,486,700	1,341,900
Total current liabilities	337,400	301,800
Total liabilities	642,100	584,500
Total stockholders' equity	844,600	757,400

Total assets were \$1,486,700 thousand and total stockholders' equity was \$844,600 thousand at the end of the reporting period.

Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$246 million, compared with \$203 million in the comparable prior-year period. Net cash used in investing activities was \$118 million, while net cash used in financing activities was \$42 million.

Item 1A. Risk Factors

Consumer demand may shift among brands and product categories. Changes in household spending could affect sales volumes and product mix.

Certain agricultural commodities and packaging materials are subject to price volatility and supply disruptions, which may affect margins.

Food safety incidents or product recalls could result in significant costs and damage customer confidence.

Item 9A. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.